+254 711-047-000
www.aib-axysafrica.com
research@aib-axysafrica.com

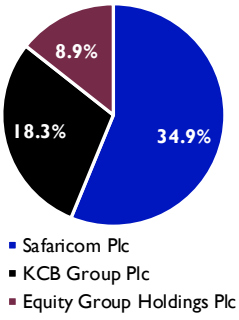
AXYS
INVESTMENT BANK

Weekly Note

AIB Weekly Equities Note

13th July 2026

Top 3 Traded Counters



Source: NSE, AIB-AXYS Research

Top Gainers

Company	Closing Price	W/W Change (%)
Britam Holdings Plc	14.55	▲ 10.6%
Standard Group Plc	6.40	▲ 7.0%
Uchumi Supermarket Plc	1.74	▲ 5.5%
Longhorn Publishers Plc	2.77	▲ 3.4%
Kapchorua Tea	332.75	▲ 3.2%

Top Losers

Company	Closing Price	W/W Change (%)
Kurwitu Ventures Ltd	1400.00	▼ (6.7%)
Unga Group Ltd	27.05	▼ (6.6%)
E.A Portland Cement Co. Ltd	93.75	▼ (5.8%)
Home Afrika Ltd	1.21	▼ (5.5%)
I&M Group Plc	65.50	▼ (5.1%)

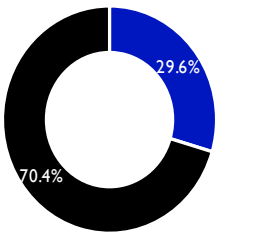
Source: NSE, AIB-AXYS Research

Weekly Market Summary

Statistic	Latest Week	Previous Week	% change
Market Cap (KES Bn)	3,843.88	3,812.38	▲ 0.8%
Nairobi All Share Index	229.05	227.17	▲ 0.8%
NSE-10 Index	2,467.64	2,464.97	▲ 0.1%
NSE-20 Index	3,842.96	3,827.10	▲ 0.4%
NSE-25 Index	6,360.73	6,344.17	▲ 0.3%

Source: NSE, AIB-AXYS Research

Participation Mix



Source: NSE, AIB-AXYS Research

Stock Commentary

- **Safaricom PLC** was the most traded counter in the week with aggregate turnover clocking **KES 1,313.09 Mn,** with **KCB Group PLC** coming in as the second most traded counter, with the cumulative turnover coming in at **KES 688.14 Mn.**
- For the week, bullish foreign sentiment was skewed on **Equity Group Holdings PLC** to register net inflows amounting to **KES 147.45 Mn.**
- On the flip side, bearish foreign sentiment was most pronounced on **Diamond Trust Bank** to register net outflows amounting to **KES 100.92 Mn.**

Trading Activity Stats

Statistic	Latest Week	Previous Week	% change
Equity Turnover (KES, Mn)	3,757.93	10,923.72	▼ (65.6%)
Foreigner buys (KES Mn)	1,142.44	2,222.90	▼ (48.6%)
Foreigner sales (KES Mn)	1,078.92	2,247.64	▼ (52.0%)
Net foreign flows (KES Mn)	63.51	(24.74)	▲ 356.7%
Foreign Participation Rate	29.6%	20.5%	▲ 9.1%

Source: NSE, AIB-AXYS Research

Kenyan Equities Market Performance

- The market registered bullish sentiment as signaled by the **0.8%** uptick in the Nairobi All-Share index (NASI) to close at **229.05 points.**
- Trading activity decreased by **65.6%** in the week to **KES 3,757.93 Mn,** down from **KES 10,923.72 Mn** the previous week.
- Local investors were notably active in the week, with their participation rate at **70.4%** of total market activity.

Top Net Foreigner Buys

Company	Closing Price	Turnover (KES '000')
Equity Group Holdings Plc	86.00	147,448.86
Safaricom Plc	35.05	65,652.42
KCB Group Plc	80.00	4,857.98
TotalEnergies Marketing Kenya Plc	43.70	2,396.56
Family Bank Ltd	24.30	241.11

Source: NSE, AIB-AXYS Research

Top Net Foreigner Sales

Company	Closing Price	Turnover (KES '000')
Diamond Trust Bank	145.25	(100,921.25)
Home Afrika Ltd	1.21	(13,868.49)
ABSA New Gold ETF	5090.00	(13,793.01)
Williamson Tea	158.50	(12,398.61)
KenGen Co. Plc	9.72	(4,464.06)

Source: NSE, AIB-AXYS Research



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ABSA Bank Kenya Tender Offer

- Absa Group Limited has launched a tender offer to acquire up to 895.99 Mn ordinary shares in Absa Bank Kenya Plc at a cash consideration of KES 34.50 per share. The offer, which opened on 30th June 2026 and will close on 11th August 2026, could increase Absa Group's shareholding from 85.0% to 95.0%, with the remaining shares continuing to trade on the Nairobi Securities Exchange.
- In our view, the offer provides minority shareholders with an attractive liquidity event, allowing investors to exit at a premium while realizing value in cash. Although the transaction will reduce Absa Bank Kenya's free float, the Bank will remain listed on the NSE, preserving an avenue for continued public participation in one of Kenya's leading banking franchises.
- Strategically, the transaction reinforces Absa Group's long-term commitment to its Kenyan subsidiary and reflects confidence in the Bank's growth prospects.

Top Gainers 2026	Closing Price		% Change
Car & General	KES	114.25	▲ 124.0%
Uchumi Supermarket	KES	1.74	▲ 68.9%
Kenya Airways Ltd	KES	5.76	▲ 63.2%
Britam Holdings	KES	14.55	▲ 59.9%
Africa Mega Agricorp	KES	112.00	▲ 58.9%
I&M Holdings	KES	65.50	▲ 54.3%
Eaagads Ltd	KES	29.95	▲ 47.9%
Stanbic Holdings	KES	291.50	▲ 47.4%
Co-operative Bank of Kenya	KES	34.90	▲ 45.7%
Kapchorua Tea Kenya	KES	332.75	▲ 43.7%

Top Losers 2026	Closing Price		% Change
Eveready East Africa	KES	1.06	▼ (22.6%)
WPP Scangroup	KES	2.11	▼ (17.3%)
Olympia Capital Holdings	KES	6.98	▼ (15.1%)
ILAM FAHARI I-REIT	KES	1.23	▼ (12.1%)
Liberty Kenya Holdings	KES	9.08	▼ (10.1%)
Home Afrika Ltd	KES	1.21	▼ (9.7%)
Kurwitu Ventures	KES	1,400.00	▼ (6.7%)
Express Kenya Ltd	KES	7.00	▼ (5.4%)
ABSA New Gold ETF	KES	5,090.00	▼ (5.3%)
Umeme Ltd	KES	7.44	▼ (4.9%)

Top Movers 2026	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change (YTD)
Equity Group Holdings	KES 30,092.6	$232.92	34.7%	KES 86.00	▲ 28.8%
Safaricom Plc	KES 24,744.0	$191.52	52.8%	KES 35.05	▲ 23.6%
KCB Group	KES 16,719.5	$129.41	26.6%	KES 80.00	▲ 21.7%
East African Breweries	KES 4,991.8	$38.64	54.3%	KES 265.00	▲ 0.8%
Stanbic Holdings	KES 4,768.1	$36.90	57.6%	KES 291.50	▲ 47.4%
NCBA Group	KES 4,742.4	$36.71	1.9%	KES 87.00	▲ 3.6%
Co-operative Bank of Kenya	KES 3,731.1	$28.88	2.1%	KES 34.90	▲ 45.7%
I&M Holdings	KES 3,499.4	$27.09	2.1%	KES 65.50	▲ 54.3%
Absa Bank Kenya	KES 3,274.5	$25.34	16.9%	KES 33.45	▲ 35.4%
Kenya Pipeline Company	KES 3,243.5	$25.10	3.5%	KES 9.20	▲ 2.2%
British American Tobacco Kenya	KES 2,314.8	$17.92	30.6%	KES 579.00	▲ 26.1%
Diamond Trust Bank	KES 2,281.5	$17.66	11.5%	KES 145.25	▲ 26.9%
Kenya Power & Lighting Co	KES 2,234.5	$17.29	13.9%	KES 18.10	▲ 33.1%
Standard Chartered Bank	KES 2,016.7	$15.61	10.8%	KES 339.25	▲ 14.1%
KenGen Co.	KES 1,779.2	$13.77	9.8%	KES 9.72	▲ 5.9%



AIB Equities Market Snapshot

13th July 2026

MARKET SCORECARD	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
		As of:	12/Jul/26												
AGRICULTURAL															
Eaagads Ltd	29.95	▲ 1.5%	▲ 47.9%	909	40.23	963.1	0.03%	0.37	-	80.9x	0.7x	0.0%	0.0%	0.9%	0.8%
Kakuzi Plc	435.75	▼ (0.5%)	▲ 8.4%	404	284.08	8,540.7	0.24%	17.12	16.00	25.5x	1.5x	3.7%	80.9%	6.0%	4.6%
Kapchorua Tea Kenya Plc	332.75	▼ (3.2%)	▲ 43.7%	7,856	453.69	2,603.4	0.07%	12.59	30.00	26.4x	0.7x	9.0%	238.3%	5.5%	7.8%
The Limuru Tea Co. Plc	537.00	▼ (0.2%)	▲ 16.7%	50	54.29	1,288.8	0.04%	(21.88)	-	(24.5x)	9.9x	0.0%	0.0%	0.0%	0.0%
Sasini Plc	24.55	▼ (4.7%)	▲ 37.5%	11,956	92.72	5,598.8	0.16%	(2.75)	-	(8.9x)	0.3x	0.0%	0.0%	0.0%	0.0%
Williamson Tea Kenya Plc	158.50	▲ 0.2%	▲ 6.0%	27,072	571.16	2,775.8	0.08%	3.31	15.00	47.9x	0.3x	9.5%	453.2%	1.2%	1.0%
Industry Median		**▼ (0.3%)**	**▲ 27.1%**			**21,770.6**	**0.60%**			**25.9x**	**0.7x**	**1.8%**	**40.5%**	**1.1%**	**0.9%**
AUTOMOBILES & ACCESSORIE															
Car & General (K) Ltd	114.25	▼ (5.0%)	▲ 124.0%	2,734	205.96	4,581.8	0.13%	30.50	3.42	3.7x	0.6x	3.0%	11.2%	14.8%	5.6%
BANKING															
ABSA Bank Kenya Plc	33.45	▲ 0.3%	▲ 35.4%	210,244	19.53	181,684.9	5.04%	4.06	2.05	8.2x	1.7x	6.1%	48.6%	20.8%	3.9%
BK Group Plc	54.50	▲ 0.9%	▲ 28.2%	6,425	51.63	48,873.4	1.36%	10.93	7.59	5.0x	1.1x	13.9%	70.2%	21.2%	3.8%
Diamond Trust Bank Kenya Ltd	145.25	▼ (0.3%)	▲ 26.9%	125,032	377.77	40,612.2	1.13%	34.83	9.00	4.2x	0.4x	6.2%	26.7%	9.2%	1.5%
Equity Group Holdings Plc	86.00	▲ 2.7%	▲ 28.8%	250,513	86.52	324,536.0	9.01%	20.01	5.75	4.3x	1.0x	6.7%	30.2%	23.1%	3.7%
HFCB Group Plc	10.60	▲ 2.4%	▲ 6.4%	188,283	12.38	15,829.2	0.44%	0.86	-	12.3x	0.9x	0.0%	0.0%	6.9%	1.4%
I&M Group Plc	65.50	▲ 3.6%	▲ 54.3%	146,733	71.00	113,740.8	3.16%	11.17	3.75	5.9x	0.9x	5.7%	34.8%	15.7%	2.6%
KCB Group Plc	80.00	▲ 1.6%	▲ 21.7%	1,575,197	109.61	257,077.0	7.14%	22.95	7.00	3.5x	0.7x	8.8%	33.7%	20.9%	3.3%
NCBA Group	87.00	▲ 0.6%	▲ 3.6%	2,186,652	80.95	143,334.2	3.98%	14.49	7.10	6.0x	1.1x	8.2%	50.0%	17.9%	3.2%
Stanbic Holdings Plc	291.50	▲ 0.5%	▲ 47.4%	2,117	202.75	115,236.3	3.20%	33.01	22.35	8.8x	1.4x	7.7%	64.4%	16.3%	2.4%
Standard Chartered Bank Kenya Ltd	339.25	▼ (0.8%)	▲ 14.1%	4,675	184.79	128,185.8	3.56%	29.08	31.00	11.7x	1.8x	9.1%	95.5%	15.7%	2.7%
The Co-operative Bank of Kenya Ltd	34.90	▲ 1.0%	▲ 45.7%	142,992	29.61	204,764.6	5.69%	5.29	2.50	6.6x	1.2x	7.2%	49.6%	17.9%	3.5%
Family Bank Limited	24.30	▼ (0.2%)	▲ 35.0%	679,149	20.91	40,402.5	1.12%	4.08	1.20	6.0x	1.2x	4.9%	30.5%	17.1%	2.6%
Industry Median		**▲ 0.9%**	**▲ 28.2%**			**1,573,874.3**	**43.70%**			**6.0x**	**1.1x**	**7.2%**	**48.6%**	**17.9%**	**3.2%**
COMMERCIAL AND SERVICES															
Eveready East Africa Ltd	1.06	▲ 1.9%	▼ (22.6%)	724,136	0.30	222.6	0.01%	(0.28)	-	(3.8x)	3.6x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	7.00	▲ 0.3%	▼ (5.4%)	20,052	9.90	334.0	0.01%	(2.62)	-	(2.7x)	0.7x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	4.66	-	-	0	0.89	294.5	0.01%	0.46	-	10.1x	5.2x	0.0%	0.0%	51.4%	14.9%
Kenya Airways Ltd	5.76	▼ (1.4%)	▲ 63.2%	370,970	-22.68	33,546.2	0.93%	(2.29)	-		(0.3x)	0.0%	0.0%	0.0%	0.0%
Longhorn Publishers Plc	2.77	▲ 1.5%	▼ (4.5%)	814	0.01	754.7	0.02%	(1.38)	-	(2.0x)	250.3x	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	1.41	▼ (0.7%)	▼ (4.1%)	17,634	1.41	1,908.7	0.05%	0.01	-	152.7x	1.0x	0.0%	0.0%	0.7%	0.4%
Nation Media Group Plc	12.75	▲ 0.4%	▲ 10.4%	4,335	33.95	2,644.3	0.07%	(1.80)	-	(7.1x)	0.4x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	16.00	▼ (4.8%)	▲ 12.3%	1,645	2.98	4,453.5	0.12%	0.93	-	17.2x	5.4x	0.0%	0.0%	31.2%	16.3%
Standard Group Plc	6.40	▲ 1.6%	▲ 6.0%	2,119	-28.82	523.1	0.01%	(10.15)	-	(0.6x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	15.45	▼ (3.1%)	▲ 5.1%	544	73.39	2,814.6	0.08%	2.77	0.35	5.6x	0.2x	2.3%	12.6%	3.8%	2.3%
Uchumi Supermarket Plc	1.74	▲ 3.0%	▲ 68.9%	131,272	-19.32	635.0	0.02%	0.03	-	58.0x	(0.1x)	0.0%	0.0%	(0.2%)	0.4%
WPP Scangroup Plc	2.11	-	▼ (17.3%)	10,667	9.24	911.8	0.03%	(1.61)	-	(1.3x)	0.2x	0.0%	0.0%	0.0%	0.0%
Industry Median		**▲ 0.1%**	**▲ 2.6%**			**15,496.8**	**0.43%**			**(1.0x)**	**0.7x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**
CONSTRUCTION & ALLIED															
Bamburi Cement Ltd	54.00	-	-	0	69.50	19,599.8	0.54%	(1.97)	23.72	(27.4x)	0.8x	43.9%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	60.25	▼ (0.8%)	▲ 10.6%	2,569	25.41	8,577.3	0.24%	1.34	-	45.0x	2.4x	0.0%	0.0%	5.3%	2.1%
E.A Cables Ltd	1.71	-	-	0	0.34	432.8	0.01%	0.37	-	4.6x	5.1x	0.0%	0.0%	110.1%	1.9%
E.A Portland Cement Co. Ltd	93.75	▼ (6.3%)	▲ 27.6%	695	373.76	8,437.5	0.23%	69.79	1.25	1.3x	0.3x	1.3%	2.0%	18.7%	12.5%
Industry Median		**▼ (0.4%)**	**▲ 5.3%**			**37,047.5**	**1.03%**			**3.0x**	**1.6x**	**0.7%**	**0.0%**	**12.0%**	**2.0%**
ENERGY & PETROLEUM															
KenGen Co. Plc	9.72	▲ 1.7%	▲ 5.9%	963,446	42.89	64,098.8	1.78%	1.43	0.90	6.8x	0.2x	9.3%	56.6%	3.3%	1.9%
Kenya Power & Lighting Co Plc	18.10	▲ 0.6%	▲ 33.1%	564,441	60.56	35,321.6	0.98%	12.76	1.10	1.4x	0.3x	6.1%	8.8%	21.1%	6.3%
TotalEnergies Marketing Kenya Plc	43.70	▼ (1.5%)	▲ 13.4%	11,882	53.48	27,511.0	0.76%	3.45	3.45	12.7x	0.8x	7.9%	100.0%	6.5%	3.1%
Umeme Ltd	7.44	▲ 3.0%	▼ (4.9%)	37,423	7.55	12,081.7	0.34%	(3.55)	7.68	(2.1x)	1.0x	103.3%	(161.2%)	0.0%	0.0%
Kenya Pipeline Company Plc	9.20	▼ (0.4%)	▲ 0.2%	75,045	5.41	167,194.4	4.64%	0.41	0.32	22.3x	1.7x	3.5%	78.8%	7.6%	5.4%
Industry Median		**▲ 0.6%**	**▲ 5.9%**			**306,207.3**	**8.50%**			**6.8x**	**0.6x**	**8.6%**	**32.7%**	**4.9%**	**2.5%**
INSURANCE															
Britam Holdings Plc	14.55	▲ 3.2%	▲ 59.9%	125,839	13.89	36,716.7	1.02%	2.18	-	6.7x	1.0x	0.0%	0.0%	15.7%	2.3%
CIC Insurance Group Ltd	4.48	▼ (0.4%)	▼ (2.0%)	1,133,903	4.53	11,717.6	0.33%	0.21	0.13	21.3x	1.0x	2.9%	61.9%	4.6%	0.7%
Jubilee Holdings Ltd	381.25	▼ (0.1%)	▲ 13.8%	700	767.27	27,630.3	0.77%	80.00	15.00	4.8x	0.5x	3.9%	18.8%	10.4%	2.3%
Kenya Re- Insurance Corporation Ltd	3.31	▼ (0.9%)	▲ 10.0%	8,415,875	9.74	18,534.7	0.51%	0.70	0.15	4.7x	0.3x	4.5%	21.4%	7.2%	5.4%
Liberty Kenya Holdings Ltd	9.08	▲ 1.6%	▼ (10.1%)	6,045	18.82	4,864.2	0.14%	0.85	0.50	10.7x	0.5x	5.5%	58.8%	4.5%	1.0%
Sanlam Kenya Plc	8.24	▼ (1.2%)	▼ (2.6%)	21,394	7.20	5,306.6	0.15%	1.52	-	5.4x	1.1x	0.0%	0.0%	21.1%	2.5%
Industry Median		**▼ (0.3%)**				**104,770.1**	**2.91%**			**6.0x**	**0.7x**	**3.4%**	**20.1%**	**8.8%**	**2.3%**
INVESTMENT															
Centum Investment Co Plc	14.40	▼ (1.4%)	▲ 4.0%	19,039	64.49	9,584.0	0.27%	2.09	0.32	6.9x	0.2x	2.2%	15.6%	3.2%	1.6%
Home Afrika Ltd	1.21	-	▼ (9.7%)	782,534	-1.64	490.4	0.01%	0.08	-	15.1x	(0.7x)	0.0%	0.0%	(4.9%)	0.9%
Kurwitu Ventures Ltd	1,400.00	▲ 3.3%	▼ (6.7%)	6	502.63	143.2	0.00%	(35.95)	-	(38.9x)	2.8x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	6.98	▼ (0.3%)	▼ (15.1%)	3,026	30.87	279.2	0.01%	0.26	-	26.7x	0.2x	0.0%	0.0%	0.8%	0.5%
Trans-Century Plc	1.12	-	-	0	-38.80	420.2	0.01%	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		**-**	**▼ (6.7%)**			**10,916.9**	**0.30%**			**6.9x**	**0.2x**	**0.0%**	**0.0%**	**0.0%**	**0.5%**
INVESTMENT SERVICES															
Nairobi Securities Exchange Plc	23.30	▲ 2.4%	▲ 15.1%	52,477	9.44	6,067.1	0.17%	1.04	1.27	22.4x	2.5x	5.5%	122.1%	11.0%	9.8%
MANUFACTURING & ALLIED															
B.O.C Kenya Plc	171.25	▼ (0.6%)	▲ 34.8%	687	112.42	3,343.7	0.09%	16.08	12.85	10.6x	1.5x	7.5%	79.9%	14.3%	12.2%
British American Tobacco Kenya Plc	579.00	▲ 0.3%	▲ 26.1%	6,550	154.85	57,900.0	1.61%	52.46	70.00	11.0x	3.7x	12.1%	133.4%	33.9%	22.2%
Carbacid Investments Plc	36.05	▲ 0.1%	▲ 22.8%	47,845	20.00	9,187.4	0.26%	3.94	2.00	9.1x	1.8x	5.5%	50.8%	19.7%	16.8%
East African Breweries Plc	265.00	▲ 0.1%	▲ 0.8%	170,042	60.69	209,555.2	5.82%	12.47	9.50	21.3x	4.4x	3.6%	76.2%	20.5%	7.0%
Flame Tree Group Holdings Ltd	1.87	▲ 1.1%	▲ 36.5%	76,169	6.88	333.0	0.01%	1.13	-	1.7x	0.3x	0.0%	0.0%	16.4%	5.4%
Africa Mega Agricop Plc	112.00	▲ 2.5%	▲ 58.9%	218	2.18	1,441.2	0.04%	0.13	-	861.5x	51.3x	0.0%	0.0%	6.0%	1.2%
Unga Group Ltd	27.05	▼ (0.7%)	▲ 16.6%	5,683	77.43	2,047.9	0.06%	(5.66)	-	(4.8x)	0.3x	0.0%	0.0%	0.0%	0.0%
Shri Krishana Overseas Plc	9.48	▲ 6.5%	▲ 16.2%	5,342	1.45	478.7	0.01%	4.10	-	2.3x	6.6x	0.0%	0.00	2.83	0.45
Industry Median			**▲ 26.1%**			**283,808.5**	**7.88%**			**10.6x**	**1.8x**	**3.6%**	**50.8%**	**16.4%**	**7.0%**
TELECOMMUNICATION															
Safaricom Plc	35.05	▲ 0.1%	▲ 23.6%	5,860,627	5.76	1,404,293.3	38.99%	2.39	2.00	14.7x	6.1x	5.7%	83.8%	41.4%	18.5%
Market Average		**▲ 0.6%**	**▲ 22.8%**							**9.6x**	**1.5x**	**3.6%**		**11.7%**	**4.8%**

AIB Weekly Fixed Income Note

13th July 2026

Key Highlights

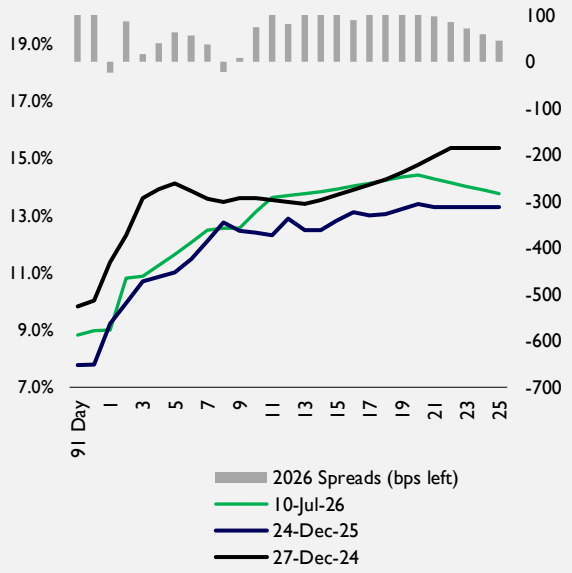
- **Spot market Treasury bills remained heavily oversubscribed, with the overall subscription rate increasing to 177.6% from 146.6% recorded the previous week,** Demand continued to be overwhelmingly concentrated in the 91-day paper, which attracted bids worth KES 34.80Bn against KES 8.00Bn offered, pointing to investors' continued preference for shorter-duration instruments. Meanwhile, the 182-day and 364-day papers remained undersubscribed, attracting KES 8.88Bn and KES 6.04Bn in bids, respectively, against offers of KES 10.00Bn each. The results of last week's auction continue to support the view that the market is pricing in higher yields in the near term. Consequently, investors are avoiding locking in funds for longer periods, which would deny them the opportunity to reinvest at higher rates. This explains the elevated appetite for the shorter-dated 91-day paper.
- The 91-day Treasury bill yield eased by 0.97 bps to 8.83%. Meanwhile, the 182-day paper edged up by 0.95 bps to 8.97%, while the 364-day paper eased marginally by 0.30 bps to 8.99%.
- **In the results of the reopened FXD1/2022/010, FXD1/2021/020 and FXD1/2026/030 bond auctions, the Government recorded a subscription rate of 206.38%,** with total bids received amounting to KES 144.47Bn against an offer of KES 70.00Bn. The total amount of accepted bids stood at KES 70.60Bn. The weighted average accepted yield for FXD1/2022/010 was 12.7822%, well in line with our recommended competitive bid range, while FXD1/2021/020 and FXD1/2026/030 recorded weighted average accepted yields of 14.3395% and 14.6166%, respectively, (slightly below our recommended competitive bid levels). The coupon rates for the respective bonds were 13.4900%, 13.4440% and 12.5000%, respectively.
- **The government announced a bond switch, inviting investors to exchange holdings from FXD1/2021/005, a 5-year bond with a coupon rate of 11.2770%** and approximately 0.3 years to maturity, into FXD1/2012/020, a 20-year bond with a coupon rate of 12.0000% and 6.3 years to maturity. The government is targeting to switch KES 10.00Bn, with the offer period running from 26th June 2026 to 13th July 2026. The switch seeks to lengthen the government's debt maturity profile and ease near-term refinancing pressures, while providing investors with an opportunity to extend duration and lock in higher yields on longer-dated securities.
- **Across the secondary bond market, the value of bonds traded decreased by 45.9% w/w to KES 29.74 Bn** from **KES 54.99 Bn** recorded a week prior. The NSE Bond Index witnessed a decrease of 51 bps w/w to 1,122.32 points, driven largely by an increase in the 22-year benchmark yields. The 22-year yield rose the most by 42.68 bps w/w, while the 6-year yield eased the most by 12.62 bps w/w.
- **Yields on Kenya's Eurobond papers increased by an average of 10.05 bps w/w.**

Table 1: Indicative Fixed Income Stats

Rate	Current	Previous	w/w bps change	2026 bps change
91- Day	8.83%	8.83%	(0.97)	109.69
182-Day	8.97%	8.96%	0.95	117.11
364-Day	8.99%	9.00%	(0.30)	(21.86)
Bond Index	1,122.32	1,128.05	(50.80)	(240.53)
KESONIA	8.75%	8.75%	0.20	(24.44)

Source: Central Banks' Data, Nairobi Securities Exchange

Chart 1: Domestic Yield Curve Evolution



Source: Nairobi Securities Exchange, AIB-AXYS Africa Research

KENYAN EUROBONDS

ISSUANCE	KENINT 02/28/2028	KENINT 02/16/2031	KENINT 05/22/2032	KENINT 01/23/2034	KENINT 02/28/2048
Tenor to maturity	1.64	4.62	5.89	7.90	21.71
31-Dec-25	6.05%	7.10%	7.20%	7.81%	8.84%
3-Jul-26	7.14%	7.56%	8.02%	8.75%	8.67%
6-Jul-26	7.10%	7.50%	7.95%	8.66%	8.67%
7-Jul-26	7.25%	7.62%	8.05%	8.69%	8.66%
8-Jul-26	7.48%	7.81%	8.23%	8.84%	8.71%
9-Jul-26	7.36%	7.71%	8.13%	8.78%	8.75%
Weekly change	(0.00%)	0.22%	0.15%	0.10%	0.03%

Macroeconomic Developments

Exchange Rate

- The Kenya Shilling appreciated marginally against the USD, closing the week at KES 129.19 from KES 129.21 recorded the previous week, translating to a w/w appreciation of 0.1%. Consequently, the Shilling's YTD depreciation against the USD stood at 0.1%.
- Official forex reserves increased by **0.6% w/w** to **USD 14,127 Mn** from **USD 14,047 Mn**. The current reserves now offer about **6 Months** of import cover, meeting the CBK's statutory requirement of 4 months. The reserves also met the EAC's convergence requirement of 4.5 months of import cover.

Liquidity

- The Kenya Shilling Overnight Interbank Average (KESONIA) closed the week at 8.75%. We expect KESONIA to remain broadly aligned with the CBR.

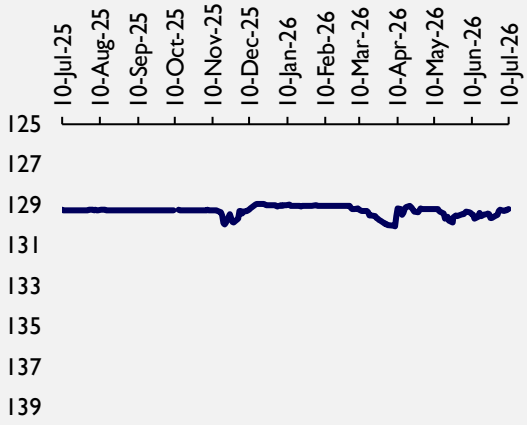
Economic Growth

- Kenya's economy expanded by 5.3% y/y in Q1 2026, up from 4.9% recorded in the corresponding period of 2025, Growth was primarily supported by strong performances in Accommodation & Food Services (14.7%), Mining & Quarrying (9.1%), Construction (6.6%), Financial & Insurance (6.3%), Manufacturing (4.4%) and Agriculture (4.9%), highlighting continued resilience in domestic economic activity despite a challenging global environment. Looking ahead, we expect growth momentum to remain broadly supportive, underpinned by lower domestic interest rates, resilient private sector activity, sustained infrastructure investment and a gradual recovery in consumer demand, although elevated inflationary pressures and external uncertainties remain key downside risks.

Stanbic PMI M/M – June 2026

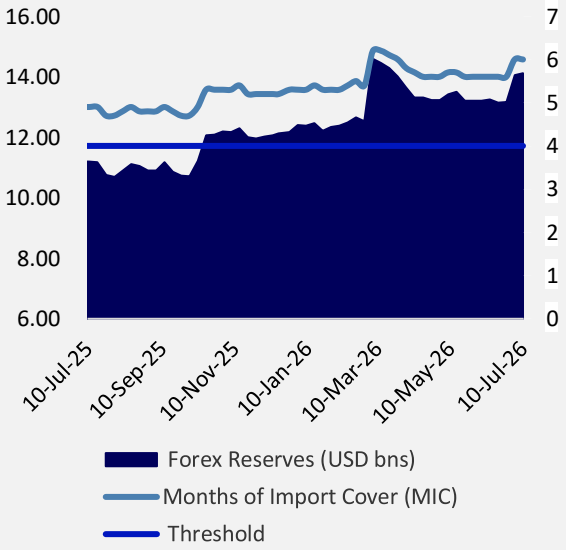
- Kenya's private sector activity stabilized in June 2026, with the Stanbic Bank Kenya PMI rising to the neutral 50.0 level from 46.6 in May, signaling an end to three consecutive months of contraction. The improvement was underpinned by a modest recovery in new orders, the first expansion since February, as stronger sales, marketing initiatives and customer referrals supported demand. Business sentiment also strengthened to its highest level since February 2023, prompting firms to increase hiring and inventory accumulation despite output remaining subdued.
- Despite the improvement in demand conditions, cost pressures intensified during the month. Higher fuel levies and rising raw material costs pushed input cost inflation to its highest level since November 2023, while firms raised selling prices at the fastest pace on record to protect margins. At the same time, supplier delivery times lengthened to their greatest extent since April 2020, highlighting persistent supply-side constraints. Looking ahead, we expect business activity to gradually recover as improving order books and stronger business confidence support private sector growth, although elevated operating costs remain a key downside risk.

Chart 2: KES-USD Exchange Rate



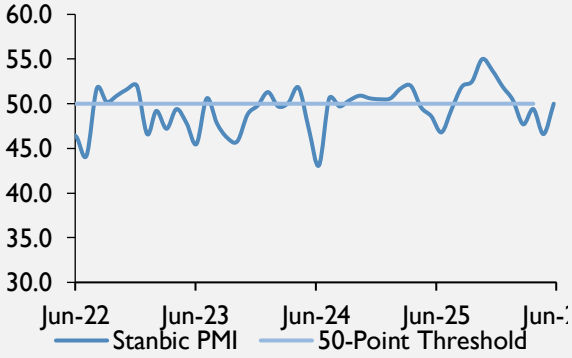
Source: Central Bank of Kenya, AIB-AXYS Africa Research

Chart 3: Forex Reserves



Source: Central Bank of Kenya, AIB-AXYS Africa Research

Chart 4: Stanbic PMI



Source: KNBS, AIB-AXYS Africa Research

Chart 5: Interbank Rate and Volume

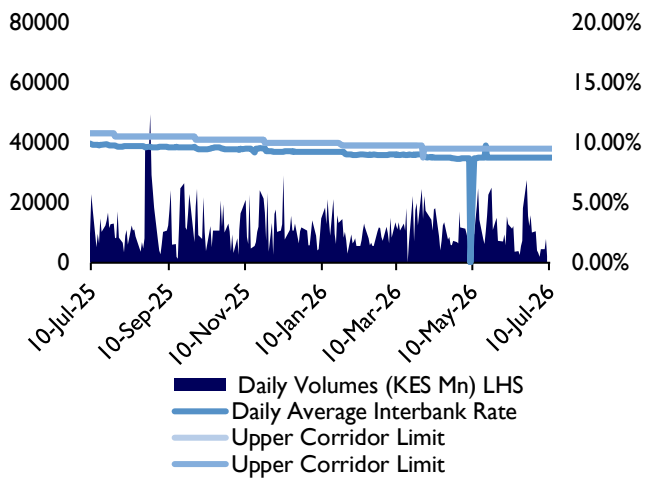
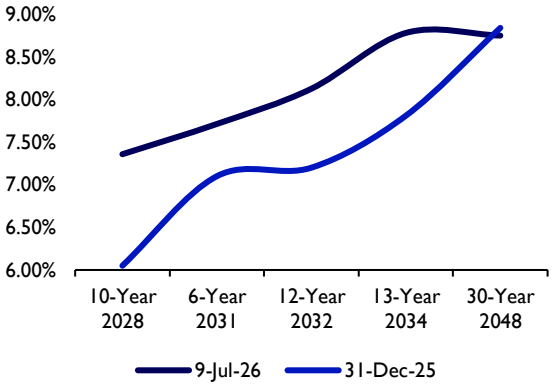


Chart 6: Kenya Eurobond Yield Curve



Source: Bloomberg

Source: Central Bank of Kenya, AIB-AXYS Research

Corporate Actions

Company	Interim/Special Dividend	Final Dividend	Book Closure	Dividend Payment
Safaricom PLC		KES 1.15	04-Aug-26	04-Sep-26
Williamson Tea Kenya Plc		KES 15.00	31-July-26	**
Kapchorua Tea		KES 30.00	31-July-26	**

Source: Nairobi Securities Exchange *** Subject to approval*

MACROECONOMIC CALENDAR

Event	Date
Fuel Prices	15th July 2026
Weekly CBK T-Bill Auction	16th July 2026

Summary Macro Economic Stats

Summary Macroeconomic Stats

Statistic	Updated as of:	Current	Previous	Δ
GDP Growth	Q1'26	5.3%	4.9%	▲ 40bps
Headline Inflation	June-26	6.4%	6.7%	▼ (30.0bps)
Central Bank Rate	June-26	8.75%	8.75%	-
Stanbic Kenya PMI	June-26	50.0	46.6	▲ 3.4bps
Private Sector Credit Growth	May-26	9.3%	7.8%	▲ 150.0bps
Forex Reserves (USD M)	June-26	14.047	13.209	▲ 6.3%
Public Debt (KES Tn)	June-25	11.81	10.56	▲ 0.1bps

Source: CBK, KNBS, Stanbic Bank Kenya, AIB-AXYS Research

CONTACTS

Research Desk
Email: research@aib-axysafrica.com

Equities Dealing
Email: trading@aib-axysafrica.com

Bond Dealing
Email: trading@aib-axysafrica.com

Offshore Products & Global Markets
Email: : invest@aib-axysafrica.com

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